

Networking/Optical Technology

Extreme Networks, Inc. (EXTR)

RATING
BUY

PRICE TARGET
\$16.50
from \$23.00

PREV CLOSE
\$13.51

52-WEEK RANGE
\$13.10 - \$32.73

EXTR: Guidance Collapse, Confidence Setback, Long Road to Recovery

CY1Q guidance has Product Sales down ~60% yr-yr as channel partners clear \$40-\$50 million in Inventory. Extreme believes by CY2Q, this Inventory clearance should be completed resulting in more normal Bookings. Yet the CY2Q guide is still substantially below prior estimates and barely above the CY2Q 2019 Revenue levels. Extreme cited weak macro conditions particularly in the US for the outlook. Based on the guidance, we are sharply lowering our Revenue expectations, and it does throw into question Extreme's belief it's gaining share. Further, the set-back also reflects in GMs. While reported GMs beat, it's strictly due to mix. GMs for Product are sharply lower than prior expectations and are likely to take much longer to recover. Extreme is executing a staff reduction in CY1Q that lowers OpEx to ~\$135 million helping Op Margins stay 10%+.

Actions:

- **Sharp Reduction in Revenue Expectations:** FY24 Revenue guidance is now in the \$1,126 million range versus the \$1,332 million Street estimate. We assume FY25 Revenues will be flat for the year, as we look for FY1Q to be down ~\$90 million yr-yr before growth returns in the rest of FY25.
- **Sharp Reduction in our EPS estimates:** We are cutting our EPS estimate for FY25 by ~40% to \$0.78.
- **Sharp Reduction in our Price Target:** Our new Target of \$16.50 is based on 16x EV/E on CY25 estimate.

Key Takeaways:

- **Extreme's CY1Q/FY3Q Guide Is Well Below Street Estimates and Implies a 60% Decline in Product Sales Yr-Yr and FY4Q/CY2Q is down ~25%.**
- **Extreme's CY2Q/FY4Q Guide Rebounds as Extreme Suggests Channel Conditions are "More Normalized" But This Guide Has Product Revenues Below CY2Q 2019 Levels.**
- **1Q FY25/3Q CY24 Revenues Likely Flat-to-Down Q-Q Seasonally Implying Down ~\$90 Million Yr-Yr Before Returning to Growth in CY4Q and CY25.** That's a large nut to have to make up in order to return to full year growth in FY25.
- **Basic Question: If the CY2Q Product Sales at the mid-point are \$162 million and in FY 2019, Product Sales were in the \$190 million range, how is this "More Normalized"?** Management says it's macro pressures. Ok, but the economy is still growing, and Extreme claims it's gaining share. We think the rebound should be more pronounced in order for Extreme to call it normalized.

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KEY DATA

Market Cap (MM)	\$1,751.1
Price (01/31/2024)	\$13.51
52-Week Range	\$13.10 - \$32.73
Shares Outstanding	129.61
Avg. Daily Volume	1,864,631.5
Conviction List	Yes

ESTIMATES

FY (Jun)	2024E	2025E	2026E
EPS			
Q1	0.35A	0.12E	0.25E
Previous	—	0.35E	—
Q2	0.24A	0.31E	0.41E
Previous	0.20E	—	—
Q3	(0.20)E	0.06E	0.22E
Previous	0.20E	0.28E	—
Q4	0.16E	0.29E	0.30E
Previous	0.32E	0.40E	—
Year	0.56E	0.78E	1.19E
Previous	1.06E	1.35E	—
Growth	NM	40.7%	51.5%
P/E	24.3x	17.3x	11.4x

Rev. (MM)(\$)

Year	1,126.6E	1,133.1E	1,255.5E
Previous	1,285.7E	1,395.0E	—
Growth Rev	[14.2]%	0.6%	10.8%

At a Glance

OUR INVESTMENT THESIS

Extreme slashed guidance for FY24, now expecting a 14%+ Revenue decline down from prior guidance of a 10% decline. This was driven by customer and channel inventory digestion along with macroeconomic headwinds. They expect a revenue bottom in 3QFY24, and then see improvement in 4QFY24. We believe Extreme is doing the right thing for the long-term, moving to cloud-delivered products, integrating its entire line on both the hardware and software, moving to more subscriptions, expanding its distribution, and improving its sales motion. Extreme appears to be getting more at-bats with increasingly larger customers and gaining traction at new VARs.

We believe Extreme can return to growth while it also has a margin expansion story, but has just experienced a major setback in margins due to lower product revenue. Extreme still believes they can get to 64%-66% GM in the CY25 timeframe, based on three drivers: Supply Chain cost normalization with ~300-400 BPs upside, the transition to the Universal platform, which has helped GMs by over 100 BPs already and as 50-100 BPs benefit yet to accrue, and finally the rapid growth in Software/SaaS subscriptions, which is growing at 30%+ and carries solidly over 70% GMs. Extreme is also expected to button up on OpEx until Revenues rebound or at least substantially muted. The only issue with these beliefs is that management has lost a lot of credibility in recent quarters.

At \$13.51, Extreme trades at ~13.1x EV/E based on our CY25 estimate. Our new Price Target of \$16.50 is based on an EV/E multiple of 16x our revised CY25 estimate. Extreme has a lot of work to do, in our opinion, to convince the Street it can grow profitably and eventually return to 10%+ growth.

COMPANY DESCRIPTION

Extreme Networks is a cloud-driven, end-to-end enterprise networking company, supplying networking solutions in wireless, IoT edge and data center applications. Extreme's flexible, agile, and secure solutions accelerates and supports its customers' path to the autonomous enterprise. With 50,000 customers globally, including half of the Fortune 50, Extreme's products are sold into multiple end markets, including hospitality, retail, transportation and logistics, education, government, healthcare and manufacturing. With the acquired Aerohive business, Extreme plans on driving its transition to a subscription revenue business providing connectivity solutions and services for Cloud wireless LAN applications. Founded in 1996, Extreme is headquartered in Morrisville, NC.

PRICE PERFORMANCE



KEY DATA

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GUIDANCE COLLAPSE, CONFIDENCE SETBACK, LONG ROAD TO RECOVERY



EXTR: \$13.51, Buy-Rated, Decreasing Price Target to \$16.50 from \$23

Target	EPS			P/E		Qtr. EPS	1Q	2Q	3Q	4Q	Shrs. Outst.	Mrkt. Cap.	Net Cash	EV/E
	CY23A	CY24E	CY25E	CY24E	CY25E	CY23A					(Mil)	(\$Mil)	(Per Sh.)	CY24E
16.50	1.21	0.39	1.02	34.6	13.3	CY24E	0.29	0.33	0.34	0.39	131.5	1,777	\$0.22	34.0

Note: Extreme is on a June fiscal year.

CY1Q guidance has Product Sales down ~60% yr-yr as channel partners clear \$40-\$50 million in Inventory. Extreme believes by CY2Q, this Inventory clearance should be completed, resulting in more normal Bookings. Yet the CY2Q guide is still substantially below prior estimates and barely above the CY2Q 2019 Revenue levels. Extreme cited weak macro conditions, particularly in the US, for the outlook. Based on the guidance, we are sharply lowering our Revenue expectations, and it does throw into question Extreme's belief it's gaining share. Further, the set-back also reflects in GMs. While reported GMs came in better, it was strictly mix driven. GMs for Product are sharply lower than prior expectations and are likely to take much longer to recover. Extreme is executing a staff reduction in CY1Q that lowers OpEx to ~\$135 million, helping Operating Margins stay 10%+. The guidance is substantially weaker than investor expectations. We suspect that the sharp decline in the stock since June is likely to result in a lot of overhead supply, and think that management's credibility has taken a sharp hit.

Actions:

- **Sharp Reduction in Revenue Expectations:** FY24 Revenue guidance is now in the \$1,126 million range versus the \$1,332 million Street estimate. We assume FY25 Revenues will be flat for the year, as we look for FY1Q to be down ~\$90 million yr-yr before growth returns in the rest of FY25.
- **Sharp Reduction in our EPS estimates:** We are cutting our EPS estimate for FY25 by ~40% to \$0.78.
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- **Extreme's CY2Q/FY4Q Guide Rebounds as Extreme Suggests Channel Conditions are "More Normalized" But This Guide Has Product Revenues Below CY2Q 2019 Levels.**
- **1Q FY25/3Q CY24 Revenues Likely Flat-to-Down Q-Q Seasonally Implying Down ~\$90 Million Yr-Yr Before Returning to Growth in CY4Q and CY25.** That's a large nut to have to make up in order to return to full year growth in FY25.
- **Basic Question: If the CY2Q Product Sales at the mid-point are \$162 million and in FY 2019, Product Sales were in the \$190 million range, how is this "More Normalized"?** Management says it's macro pressures. Ok, but the economy is still growing, and Extreme claims it's gaining share. We think the rebound should be more pronounced in order for Extreme to call it normalized.

- **On Gross Margins: Mix Helped GMs Hold in for CY4Q and CY1Q Guide, But as Product Sales Rebound It's a Headwind.** The CY1Q guide of GMs in the 59.5%-61.5% vicinity sounds okay at first blush. However, it's a result of flat high margin Service Revenues and sharply lower Product GMs. Product GMs are falling to the 51% vicinity driven by overhead variances from the 56%-58% range over the last year. As the mix shifts back to Product, the GMs are pressured by the normalization of the mix even as Product GMs gradually rebound. Management believes it can still attain 64%-66% long-term, but we are increasingly skeptical this can be attained by FY26.

FY3Q (MARCH) AND LONG-TERM GUIDANCE:

FY3Q (March):

- **Revenue of \$200-\$210 Million, Down 38% Yr-Yr and Down 31% Qtr-Qtr at the Midpoint**, was ~36% below the Street's \$321 million estimate (Needham \$299.3 million). Management stated digestion from channel partners and elongated sales cycles are reasons for the lower guide. They expect \$40-\$50 million in channel inventory to come down, and this quarter to be the final quarter of inventory digestion before returning to more normalized ordering in 4QFY24.
- **GM Guidance for 59.5%-61.5% was Down 140 BPs Qtr-Qtr, But Up 280 BPs Yr-Yr at the Midpoint.** Guidance was down at the midpoint compared to our 61.7% estimate mainly due to lower product revenue as there are overhead costs, but is offset by better mix with higher margin subscription and supply chain costs continuing to come down.
- **NG OM of (13.4%)-(9.8%)** was well below our 11.9% forecast and compares to 14.8% in the December quarter. The decline in operating margins is due to much lower product revenue, but management noted they plan to enact cost-cutting measures to bring OpEx back in-line with revenue expectations.
- **NG EPS of (\$0.22)-(\$0.17), Down ~\$0.44 Qtr-Qtr at the Midpoint and Down from \$0.29 a Year Ago.** The Street was modeling \$0.28 (Needham \$0.20). **FD Shares Outstanding of 129 Million.**

FQ3'24 GUIDANCE – NON-GAAP

(IN M'S EXCEPT PERCENTAGES AND EPS)

	FQ2'24	FQ3'24 Guidance
Revenue (\$M)	\$296.4	\$200.0 - \$210.0
Gross Margin %	62.5%	59.5% - 61.5%
Operating Margin %	14.8%	(13.4%) - (9.8%)
EPS	\$0.24	(\$0.22) - (\$0.17)

Source: EXTR Investor Presentation, January 31st, 2024

FY4Q and FY24 Outlook:

FY4Q (June):

Revenue of \$265-\$275 Million, Down 26% Yr-Yr But Up 32% Qtr-Qtr at the midpoint, Management stated that they believe the March quarter is the revenue bottom with channel inventory being fully flushed out, and will thus see a sequential improvement in June to a more "normalized level". They expect this revenue to be the normalized run rate moving forward.

- **GM Guidance for Flat to Up Slightly From the FY3Q Guide of 59.5%-61.5%**. This compares to a GM of 60.2% in the June FY23 quarter. GM should improve as revenues recover.
- **NG OM of 10%-13%** was well below our 15.4% forecast, but is a sequential improvement from the negative OM expected in FY3Q. Management noted that they plan to enact cost-cutting measures to bring OpEx back in-line with revenue expectations.

Q4 FY24 Outlook

FQ4'24	
Revenue (\$M)	\$265 – \$275
GAAP & Non-GAAP Gross Margin %	Flat to up slightly from Q3
GAAP Operating Margin %	(2%) – 1%
Non-GAAP Operating Margin %	10% – 13%

Source: EXTR Investor Presentation, January 31st, 2024

FY24:

- **Revenue of \$1,115-\$1,135 Million is Implied by the Quarterly Guidance, Down 14% Yr-Yr at the midpoint**, is well below the Street's \$1,333 million estimate (Needham \$1,306 million). Management stated that digestion from channel partners and elongated sales cycles are reasons for the lower guide.
- **GM of ~61% is Implied by the Quarterly Guidance**. This compares to a GM of 58.9% in FY23, as Extreme has a better mix with higher margin subscription revenue along with supply chain costs continuing to come down. These positives are offset by a lower product margin due to lower revenue.

FY2Q (DECEMBER) EARNINGS VARIANCE

- **Revenue Declined 7% Yr-Yr and Declined 16% Qtr-Qtr to \$296 Million.** Extreme was in line with the Street's revised \$295.6 million estimate after the pre-release (Needham \$295 million). Product Revenue declined (17%) yr-yr and (26%) qtr-qtr to \$187 million while Service Revenue grew 16% yr-yr and 10% qtr-qtr to \$110 million. Management noted continued inventory digestion at channel partners, and expect this to be fully flushed out by the end of FY3Q.
 - **Cloud SaaS Deferred Revenue Was \$246 Million**, growing 32% growth yr-yr (38% last Q) and 4% qtr-qtr. **SaaS ARR Added ~\$17 Million Q-Q Reaching \$15 Million**, Up 37% yr-yr and 12% sequentially. Management expects SaaS Revenue to grow 35%-45% long term.
- **NG GM of 62.5%, Up 395 BPs Yr-Yr and 140 BPs Qtr-Qtr** was above our 62.2% estimate. GM was pointed to the high end of management's guide for 60.2%-62.2% in the pre-release. GMs have been supported by the shift in mix to higher margin subscription and supply chain costs continuing to fall.
 - **Services GM of 72%** beat our 69% estimate. A one time revenue event with no costs led to higher Service GMs, which EXTR expects to return to 69%-70% in coming quarters.
 - **Product GM of 56.9%** was up 196 BPs yr-yr but down 93 BPs sequentially, below our 58.8% estimate.
- **OpEx of \$141 Million Grew 1.6% Yr-Yr but Declined 7.8% Qtr-Qtr**, below our estimate of \$146.8 million. S&M spending was up 4% yr-yr, R&D was nearly flat, and G&A was down 3%. OpEx as a percent of Revenue was 47.7%, up sequentially from 43.4% as the company battles lower revenues, but are expecting to reign in costs.
- **Interest Expense of \$3.3 Million**, compared to \$2.7 million last quarter and \$2.9 million expense in the year ago.
- **Effective Tax Rate of 22.6%** was consistent with our 22% estimate.
- **EPS of \$0.24 Matched the Street's \$0.24 Estimate** (Needham \$0.20), down 12% yr-yr from \$0.27 a year ago.
 - **FD Shares Outstanding of 131.5 Million** was below our forecast for 133.6 million. Extreme bought back 1.5 million shares worth ~\$25 million during FY2Q.

Extreme Networks—Quarterly Income Statement Variance Analysis

(Millions Of Dollars, Except Per-Share Data)

	Actual		NH Est	Actual	Vs Forecast		Actual		Actual	
	2Q-Dec 22A	1Q-Sep 23A			Variance		Yr-Yr Change		Q-Q Change	
					Abs	%	Abs	%	Abs	%
Product	223.4	253.5	194.4	186.6	(7.8)	-4.0%	(36.8)	-16.5%	(66.9)	-26.4%
Services	94.9	99.7	100.7	109.8	9.1	9.1%	14.9	15.7%	10.1	10.1%
Revenue --Non GAAP	318.3	353.1	295.0	296.4	1.3	0.5%	(22.0)	-6.9%	(56.8)	-16.1%
Street Consensus	Guide: \$294M - \$297M		295.6		0.8	0.3%				
Cost Of Goods Sold	100.7	106.9	80.2	80.4	0.2	0.3%	(20.3)	-20.1%	(26.5)	-24.8%
Cost of Services Sold	31.3	30.5	31.2	30.8	(0.4)	-1.4%	(0.6)	-1.8%	0.2	0.8%
Gross Profit	186.3	215.7	183.7	185.2	1.5	0.8%	(1.1)	-0.6%	(30.5)	-14.2%
Product GMs	54.9%	57.8%	58.8%	56.9%		-185 BPs		196 BPs		-93 BPs
Service GMs	67.0%	69.4%	69.0%	72.0%		297 BPs		498 BPs		261 BPs
Gross Margin	58.5%	61.1%	62.2%	62.5%		23 BPs		395 BPs		140 BPs
Operating Expenses										
Research & Development	48.7	53.6	52.4	48.4	(4.0)	-7.6%	(0.3)	-0.5%	(5.2)	-9.8%
% of Revenue	15.3%	15.2%	17.7%	16.3%		-142 BPs		105 BPs		114 BPs
Sales and Marketing	74.6	84.9	80.0	77.6	(2.3)	-2.9%	3.0	4.0%	(7.3)	-8.6%
% of Revenue	23.4%	24.1%	27.1%	26.2%		-91 BPs		275 BPs		214 BPs
General & Administrative	15.7	14.6	14.5	15.2	0.7	5.1%	(0.5)	-3.0%	0.6	4.0%
% of Revenue	4.9%	4.1%	4.9%	5.1%		23 BPs		21 BPs		99 BPs
Total Operating Expenses	139.0	153.2	146.8	141.2	(5.6)	-3.8%	2.3	1.6%	(12.0)	-7.8%
% of Revenue	43.7%	43.4%	49.8%	47.7%		-211 BPs		400 BPs		427 BPs
Operating Income	47.3	62.5	36.8	43.9	7.1	19.3%	(3.4)	-7.2%	(18.6)	-29.7%
Operating Margin	14.9%	17.7%	12.5%	14.8%		234 BPs		-5 BPs		-287 BPs
Interest and other income	(2.9)	(2.7)	(2.4)	(3.3)	(0.9)	38.1%	(0.4)	14%	(0.6)	23%
Pretax Income	44.5	59.8	34.5	40.7	6.2	18.0%	(3.8)	-8.6%	(19.2)	-32.0%
Pretax Margin	14.0%	16.9%	11.7%	13.7%		204 BPs		-25 BPs		-322 BPs
Income Tax Expense (Income)	8.0	13.3	7.6	9.2	1.6	21.3%	1.2	15.0%	(4.1)	-30.8%
Tax Rate	18.0%	22.2%	22.0%	22.6%		61 BPs		463 BPs		40 BPs
Net Income (Non GAAP)	36.5	46.5	26.9	31.5	4.6	17.0%	(5.0)	-13.7%	(15.1)	-32.4%
EPS -- Non GAAP	\$0.27	\$0.35	\$0.20	\$0.24	0.04	18.9%	(0.03)	-11.8%	(\$0.11)	-31.4%
Street Consensus	Guide: \$0.26 - \$0.31		\$0.24		\$ (0.00)	-0.3%				
Shares Outstanding	134.5	133.5	133.6	131.5	(2.1)	-1.6%	(2.9)	-2.2%	(1.9)	-1.5%

Source: Extreme Networks financial Results, Needham & Company, LLC estimates.

PRE-RELEASE RECAP:

XTR Pre Release: Late Quarter Push Outs Hit Revs -- Management Notes Strong Funnel.

Despite a robust pipeline, Extreme experienced a classic end-of-quarter pushout of some large deals, resulting in below-target CY4Q/FY2Q Revenue. Extreme revised its Revenue guidance to \$294-\$297 million from \$312 to \$327 million, while noting its GM is at the high-end of the prior guidance band. Extreme called out a strong pipeline and robust business funnel even as they experienced deal timing slippage. It's challenging at this time to nail down the outlook for forward quarters as typically CY4Q is seasonally stronger than CY1Q. Extreme plans to report in 3 weeks; at that time we expect some clarity regarding the outlook. While we are cutting our estimates near-term, the results reflect supply chain disruption normalization. Longer-term, we foresee Extreme gaining share versus Cisco and still anticipate solid margin increases.

Actions:

- **After the Pre-Release We Cut Estimates for FY24 and FY25** to reflect the on-going supply chain driven inventory absorption. Our EPS estimates for FY24 went to \$1.06 from \$1.39 and FY25 to \$1.35 from \$1.69. Our EPS estimates for CY24 went to \$1.18 from \$1.53 and CY25 to \$1.62 from \$1.94. Please note, the recovery in demand once the Inventory absorption is cleared could make the prior CY25 numbers attainable.
- **Should Investors Buy the Weakness?** We think investors should wait for more information and do not expect the stock to recover before the complete earnings release in 3 weeks. Broadly, we think the stock is over-sold and as we noted in our last note, we expect a choppy first half of CY24, before the underlying Margin expansion story becomes more evident. We are a buyer on the weakness, but in no rush to step up.

What They Announced:

- **Pushouts Late in December Resulted in Revenues Below Prior Guidance:** Revenues are now expected to be down ~7% yr-yr to \$294-\$297 million, compared to the prior outlook of \$312-\$327 million, while noting GM at the high-end of the prior guidance band. We note the GM improvement is mainly due to the mix as the weakness is in lower-margin Products, not in the Services line. We note this implies a decline in Product Sales of roughly 13%-16%.
- **Extreme Noted Results Were On Track In October and November with the Entire Miss in the Last Two Weeks of the Quarter.** Extreme had several large deals slip out of the quarter late in the month of December. Extreme does not believe these deals are lost, just not closed yet.
- **Extreme Called Out a Continuing Expansion in its Sales Pipeline Funnel.** Despite the miss, Extreme continues to see strong interest, robust deal pipeline in process and larger deal sizes in the pipeline.
- **Transition to Subscription and Software Continues to Be Robust: Extreme called out 41% Yr Over Yr Subscription Growth, Accelerating From 32% Growth in 1Q.**
- **New CCO To Take Over Departing CRO Responsibilities.** Extreme announced that Norman Rice has been promoted to Chief Commercial Officer, where he will focus on driving revenue growth as well as leading the sales, partner, and supply chain teams. Mr. Rice joined Extreme in 2015 and most recently had the role of Chief Operating Officer. He is an architect of the company's SaaS transition and several go-to-market strategies which Extreme is now fully leaning into. Former CRO Joe Vitalone has resigned from his position as Chief Revenue Officer but will stay on in an advisory role to ensure a smooth transition.

EXTREME NETWORKS, INC. FINANCIAL MODEL

EXTREME NETWORKS, INC.--Consolidated Balance Sheet													
(In thousands, except share and per share amounts)	June 2021	Sep 2021	Dec 2021	Mar 2022	June 2022	June 2022	Sep 2022	Dec 2022	Mar 2023	June 2023	June 2023	Sep 2023	Dec 2023
ASSETS													
Current assets:													
Cash and cash equivalents	\$ 246,894	\$ 191,349	\$ 173,548	\$ 166,566	\$ 194,522	\$ 194,522	\$ 198,344	\$ 202,521	\$ 202,996	\$ 234,826	\$ 234,826	\$ 224,434	\$ 221,403
Short-term investments	-	-	-	-	-	-	-	-	-	-	-	-	-
Accounts receivable, net of allowances	156,476	129,611	133,255	162,967	184,097	184,097	158,727	152,050	158,637	182,045	182,045	131,511	112,047
Inventories, net	32,885	32,439	37,180	37,738	49,231	49,231	51,766	63,763	70,310	89,024	89,024	100,823	152,521
Deferred income taxes	-	-	-	-	-	-	-	-	-	-	-	-	-
Prepaid expenses and other current assets, net	51,340	70,772	86,534	79,605	61,239	61,239	73,267	79,331	70,129	70,263	70,263	75,688	72,272
Assets held for sale	-	-	-	-	-	-	-	-	-	-	-	-	-
Total current assets	487,595	424,171	430,517	446,876	489,089	489,089	482,104	497,665	502,072	576,158	576,158	532,456	558,243
Property and equipment, net	-	52,878	52,117	49,365	49,578	49,578	47,952	45,711	45,230	46,448	46,448	46,336	47,598
Marketable securities	-	-	-	-	-	-	-	-	-	-	-	-	-
Intangible assets	367,197	433,706	436,191	436,833	432,659	432,659	428,709	416,479	414,290	410,818	410,818	406,812	408,710
Other assets, net	155,301	98,049	93,975	91,770	97,184	97,184	99,015	102,321	106,807	108,283	108,283	120,910	128,107
Total assets	\$ 1,010,093	\$ 1,008,804	\$ 1,012,800	\$ 1,024,844	\$ 1,068,510	\$ 1,068,510	\$ 1,057,780	\$ 1,062,176	\$ 1,068,399	\$ 1,141,707	\$ 1,141,707	\$ 1,106,514	\$ 1,142,658
LIABILITIES AND STOCKHOLDERS' EQUITY													
Current liabilities:													
Accounts payable	\$ 60,142	\$ 63,394	\$ 58,831	\$ 68,504	\$ 84,338	\$ 84,338	\$ 84,848	\$ 86,350	\$ 95,960	\$ 99,724	\$ 99,724	\$ 80,003	\$ 87,790
Accrued compensation and benefits	71,610	52,098	65,543	45,151	53,710	53,710	47,544	63,401	48,055	71,367	71,367	51,997	50,862
Short Term Debt and Current LT Debt	23,721	26,144	28,542	30,945	33,349	33,349	35,764	35,819	35,872	34,326	34,326	9,325	9,325
Restructuring liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-
Accrued warranty	11,623	10,780	11,137	10,576	10,852	10,852	11,522	11,820	12,302	12,322	12,322	12,164	11,397
Deferred revenue, net	212,412	216,807	224,735	222,380	238,262	238,262	252,841	260,891	268,561	282,475	282,475	292,925	300,399
Deferred revenue, net of cost of sales to distribute	-	-	-	-	-	-	-	-	-	-	-	-	-
Other accrued liabilities	76,192	85,837	78,892	80,234	79,670	79,670	70,180	70,821	66,096	75,287	75,287	82,304	89,193
Total current liabilities	455,700	455,060	467,680	457,790	500,181	500,181	502,699	529,102	526,846	575,501	575,501	528,718	548,966
Deferred revenue, less current portion	133,172	139,216	148,477	150,030	163,357	163,357	171,144	184,723	195,675	219,024	219,024	232,500	247,777
Long Term Debt	315,865	297,379	288,458	279,514	270,570	270,570	231,640	222,669	198,188	187,591	187,591	185,261	182,931
Other long-term liabilities	50,888	44,824	38,586	38,247	44,059	44,059	41,694	41,115	44,498	42,839	42,839	51,553	54,800
Total Liabilities	955,625	936,479	943,201	925,581	978,167	978,167	947,177	977,609	965,207	1,024,955	1,024,955	998,032	1,034,474
Stockholders' equity:	54,468	72,325	69,599	99,263	90,343	90,343	110,603	84,567	103,192	116,752	116,752	108,482	108,184
Total liabilities and stockholders' equity	\$ 1,010,093	\$ 1,008,804	\$ 1,012,800	\$ 1,024,844	\$ 1,068,510	\$ 1,068,510	\$ 1,057,780	\$ 1,062,176	\$ 1,068,399	\$ 1,141,707	\$ 1,141,707	\$ 1,106,514	\$ 1,142,658
Cash And Equivalent Per Share	\$1.93	\$1.44	\$1.30	\$1.25	\$1.47	\$1.46	\$1.49	\$1.51	\$1.53	\$1.77	\$1.76	\$1.68	\$1.68
Debt Per Share	\$2.66	\$2.43	\$2.37	\$2.33	\$2.30	\$2.28	\$2.01	\$1.92	\$1.76	\$1.67	\$1.66	\$1.46	\$1.46
Net Cash Per Share	(\$0.73)	(\$0.99)	(\$1.07)	(\$1.08)	(\$0.83)	(\$0.82)	(\$0.52)	(\$0.42)	(\$0.23)	\$0.10	\$0.10	\$0.22	\$0.22
Book Value Per Share	\$0.43	\$0.54	\$0.52	\$0.74	\$0.68	\$0.68	\$0.83	\$0.63	\$0.78	\$0.88	\$0.88	\$0.81	\$0.82
DSO	56.6	43.6	42.7	51.4	59.6	60.4	48.0	43.0	42.9	45.0	50.6	33.5	34.0
Inv Turns	2.14	2.33	2.33	2.36	1.88	1.75	1.86	1.58	1.51	1.25	1.16	1.06	0.53

Source: Extreme Networks Financial Statements, Needham & Co. LLC estimates

Extreme Networks—Quarterly Income Statement

(Year-To-Year Percent Change)

	FY Year 2022A	Fiscal 2023A					FY Year 2023A	Fiscal 2024E					FY Year 2024E	Fiscal 2025E					FY Year 2025E	FY Year 2026E
		1Q-Sep 22A	2Q-Dec 22A	3Q-Mar23A	4Q-Jun23A			1Q-Sep 23A	2Q-Dec 23A	3Q-Mar24E	4Q-Jun24E			1Q-Sep 24E	2Q-Dec 24E	3Q-Mar25E	4Q-Jun25E			
Product	8.9%	11.4%	16.9%	21.5%	39.9%		22.4%	22.9%	-16.5%	-60.0%	-38.0%		-25.1%	-40.0%	8.0%	40.0%	20.0%		-2.2%	13.0%
Services	13.1%	10.8%	5.6%	5.0%	12.2%		8.4%	9.0%	15.7%	18.8%	7.4%		12.6%	11.1%	1.9%	4.0%	4.0%		5.1%	7.5%
Revenue	10.2%	11.2%	13.3%	16.5%	30.8%		18.0%	18.6%	-6.9%	-38.3%	-25.3%		-14.2%	-25.6%	5.7%	20.9%	13.5%		0.6%	10.8%
CY Revenue																				
Cost of Goods Sold	22%	27%	16%	19%	20%		20%	11%	-20%	-56%	-33%		-25%	-36%	8%	22%	9%		-5%	10%
Cost of Services Sold	4%	-1%	3%	-3%	24%		5%	1%	-2%	13%	-1%		2%	20%	13%	4%	7%		10%	7%
Gross Profit	6%	6%	14%	19%	38%		19%	26%	-1%	-37%	-25%		-11%	-27%	4%	25%	17%		1%	12%
Gross Margin	(248)	(279)	30	106	319		53	352	395	147	38		232	(102)	(133)	209	185		34	48
Operating Expenses																				
Research & Development	-3%	6%	7%	8%	22%		10%	12%	-1%	-1%	-8%		0%	-11%	1%	0%	7%		-1%	9%
% of Revenue - BPs	(229)	(84)	(88)	(120)	(108)		(104)	(90)	105	926	334		259	304	(74)	(429)	(99)		(27)	(32)
Sales and Marketing	6%	12%	10%	13%	15%		13%	15%	4%	1%	-19%		-1%	-17%	-8%	-6%	2%		-8%	-3%
% of Revenue - BPs	(106)	13	(66)	(66)	(340)		(115)	(72)	275	1,509	199		381	268	(345)	(866)	(270)		(233)	(316)
General & Administrative	1%	2%	14%	10%	27%		13%	8%	-3%	7%	3%		4%	10%	7%	6%	8%		8%	8%
% of Revenue - BPs	(44)	(41)	5	(25)	(13)		(20)	(40)	21	337	163		95	199	4	(97)	(27)		39	(14)
Total Operating Expenses	2%	9%	10%	11%	18%		12%	13%	2%	1%	-13%		0%	-12%	-3%	-3%	4%		-4%	3%
% of Revenue	(380)	(111)	(149)	(210)	(461)		(238)	(202)	400	2,773	696		735	771	(416)	(1,393)	(396)		(221)	(362)
Operating Income	24%	-2%	29%	46%	137%		46%	73%	-7%	-142%	-53%		-43%	-62%	26%	-162%	74%		26%	47%
Operating Margin	132	(168)	179	316	780		291	555	(5)	(2,625)	(658)		(502)	(873)	283	1,602	580		255	411
Interest and other income	-50%	-15%	-2%	35%	14%		6%	-13%	14%	-2%	0%		-1%	19%	-6%	-14%	-12%		-5%	-13%
Pretax Income	44%	-1%	31%	47%	151%		50%	81%	-9%	-152%	-56%		-45%	-66%	29%	-142%	85%		30%	52%
Pretax Margin	264	(136)	193	302	793		302	582	(25)	(2,688)	(688)		(518)	(918)	295	1,651	608		261	434
Income Tax Expense (Income)	50%	10%	49%	72%	279%		92%	121%	15%	-97%	-64%		-28%	-66%	25%	668%	85%		1%	52%
Tax Rate	60	181	210	290	908		472	404	463	(2,109)	(497)		671	(21)	(61)	2,319	-		(613)	(0)
Net Income (Non GAAP)	43%	-3%	28%	42%	124%		41%	72%	-14%	-166%	-53%		-50%	-66%	30%	-132%	85%		41%	52%
Calendar Year Earnings																				
Earnings Per Share – Non GAAP	37%	-3%	27%	42%	123%		41%	71%	-12%	-168%	-53%		-49%	-65%	30%	-131%	84%		41%	52%
Shares Outstanding	4%	0%	1%	0%	0%		0%	0%	-2%	-3%	-1%		-2%	-2%	0%	2%	0%		0%	0%

Source: Extreme Networks financials, Needham & Co., LLC estimates.

Extreme Networks —Geographic Segmentation

(Millions Of Dollars)

Revenues	Year		Fiscal 2022					Year	Fiscal 2023					Year	Fiscal 2024	
	2020	2021	1Q-Sep 21A	2Q-Dec 21A	3Q-Mar22A	4Q-Jun22A			1Q-Sep 22A	2Q-Dec 22A	3Q-Mar23A	4Q-Jun23A		2023	1Q-Sep 23A	2Q-Dec 23A
Americas	499.4	533.5	135.2	146.0	131.3	136.3		548.8	157.8	153.0	157.7	188.6	657.0	195.6	163.0	
EMEA	357.2	387.6	113.2	111.0	139.9	114.1		478.2	116.1	138.1	152.0	153.5	559.7	143.6	110.0	
Asia Pac	91.4	88.4	19.3	23.9	14.3	27.8		85.3	23.8	27.3	22.8	21.8	95.8	13.9	23.0	
Total	948.0	1,009.4	267.7	280.9	285.5	278.2		1,112.3	297.7	318.3	332.5	363.9	1,312.5	353.1	296.0	
Percent of Revenues																
Americas	53%	53%	51%	52%	46%	49%		49%	53%	48%	47%	52%	50%	55%	55%	
EMEA	38%	38%	42%	40%	49%	41%		43%	39%	43%	46%	42%	43%	41%	37%	
Asia Pac	10%	9%	7%	9%	5%	10%		8%	8%	9%	7%	6%	7%	4%	8%	
Total	100%	100%	100%	100%	100%	100%		100%	100%	100%	100%	100%	100%	100%	100%	
International	47%	47%	49%	48%	54%	51%		51%	47%	52%	53%	48%	50%	45%	45%	
Q-Q Percent Change																
Americas			-13.1%	8.0%	-10.0%	3.8%			15.7%	-3.0%	3.1%	19.6%		3.8%	-16.7%	
EMEA			9.6%	-1.9%	26.0%	-18.5%			1.8%	18.9%	10.1%	1.0%		-6.5%	-23.4%	
Asia Pac			0.5%	23.8%	-40.3%	94.9%			-14.4%	14.6%	-16.3%	-4.5%		-36.4%	65.6%	
Total			-3.7%	4.9%	1.6%	-2.6%			7.0%	6.9%	4.4%	9.4%		(0)	(1)	
Yr-Yr Percent Change																
Americas	-7.8%	6.8%	3.7%	23.9%	1.3%	-12.4%		2.9%	16.7%	4.8%	20.1%	38.3%	19.7%	24.0%	6.5%	
EMEA	-0.3%	8.5%	39.6%	6.9%	40.8%	10.4%		23.4%	2.6%	24.4%	8.6%	34.6%	17.0%	23.7%	-20.3%	
Asia Pac	-4.7%	-3.3%	-20.7%	16.8%	-41.4%	44.9%		-3.5%	23.4%	14.2%	60.0%	-21.6%	12.3%	-41.7%	-15.7%	
Total	-4.8%	6.5%	13.5%	16.0%	12.7%	0.0%		10.2%	11.2%	13.3%	16.5%	30.8%	18.0%	18.6%	-7.0%	

Source: Extreme Networks. Financial Statements, Needham & Co., LLC estimates. Note: Figures may be off due to rounding until 10Q/10K is filed.

Extreme Networks -- ARR Build

(Millions Of Dollars, Except Per-Share Data)

Fiscal Year Ends January	FY Year 2021A	Fiscal 2022A					FY Year 2022A	Fiscal 2023A					Est. FY Year 2023A	Fiscal 2024E					Est. FY Year 2024E
		1Q-Sep 21A	2Q-Dec 21A	3Q-Mar22A	4Q-Jun22A			1Q-Sep 22A	2Q-Dec 22A	3Q-Mar23A	4Q-Jun23A			1Q-Sep 23A	2Q-Dec 23A	3Q-Mar24E	4Q-Jun24E		
Cloud/SaaS ARR	70	80	88	97	103		103	109	115	117	129		129	141	158	164	172		172
Yr-Yr Growth	30%	48%	54%	54%	47%		47%	36%	31%	21%	25%		25%	29%	37%	40%	33%		33%
Q-Q Growth		14%	10%	10%	6%			6%	6%	2%	10%			9%	12%	4%	4%		4%
SaaS Deferred Revenue	112	122	136	143	157		157	171	187	199	217		217	236	246	258	271		271
Yr-Yr Growth	33%	45%	49%	44%	40%		40%	40%	38%	39%	38%		38%	38%	32%	30%	25%		25%
Q-Q Growth		9%	11%	5%	10%			9%	9%	6%	9%			9%	4%	5%	5%		5%
New ARR	16	10	8	9	6		33	6	6	2	12		26	12	17	6	7		43
Yr-Yr Growth			167%	50%	-14%		106%	-40%	-25%	-78%	100%		-21%	100%	183%	216%	-40%		64%
Q-Q Growth		43%	-20%	13%	-33%			0%	0%	-67%	500%			-54%	42%	-63%	14%		

Source: Extreme Networks Holdings, Inc. financial statements and Needham & Company, LLC estimates.

VALUATION (PRICE TARGET: \$16.50)

Extreme slashed guidance for FY24, now expecting a 14%+ Revenue decline down from prior guidance of a 10% decline. This was driven by customer and channel inventory digestion along with macroeconomic headwinds. They expect a revenue bottom in 3QFY24, and then see improvement in 4QFY24. We believe Extreme is doing the right thing for the long-term, moving to cloud-delivered products, integrating its entire line on both the hardware and software, moving to more subscriptions, expanding its distribution, and improving its sales motion. Extreme appears to be getting more at-bats with increasingly larger customers and gaining traction at new VARs.

We believe Extreme can return to growth while also delivering a margin expansion story, but note that it just experienced a margin setback due to lower product revenue. Extreme still believes they can get to 64%-66% GM in the CY25 timeframe, based on three drivers: Supply Chain cost normalization with ~300-400 BPs upside, the transition to the Universal platform, which has helped GMs by over 100 BPs already and as 50-100 BPs benefit yet to accrue, and finally the rapid growth in Software/SaaS subscriptions, which is growing at 30%+ and carries solidly over 70% GMs. Extreme is also expected to button up on OpEx until Revenues rebound or at least substantially muted. The only issue with these beliefs is that management has lost a lot of credibility in recent quarters.

At \$13.51, Extreme trades at ~13.1x EV/E based on our CY25 estimate. Our new Price Target of \$16.50 is based on an EV/E multiple of 16x our revised CY25 estimate. Extreme has a lot of work to do to convince the Street it can grow profitably and eventually return to 10% + growth.

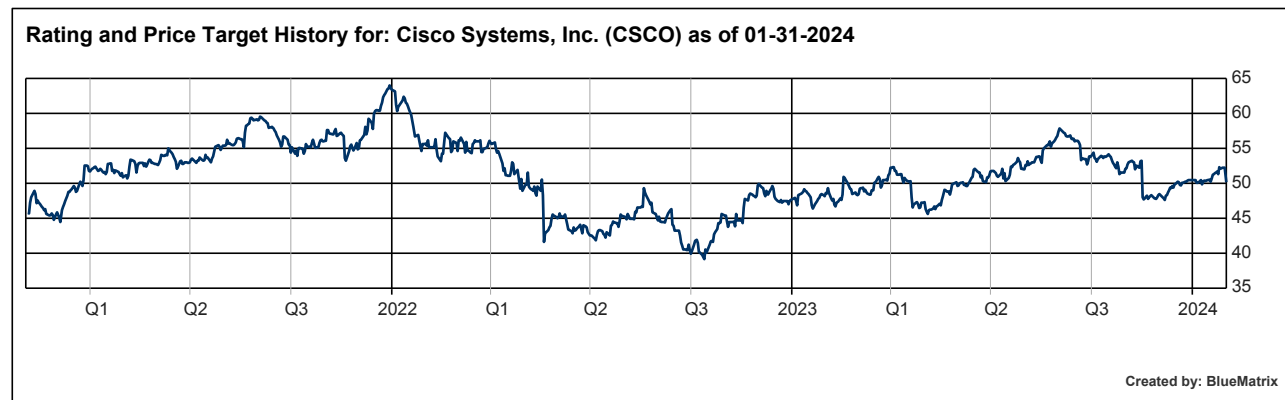
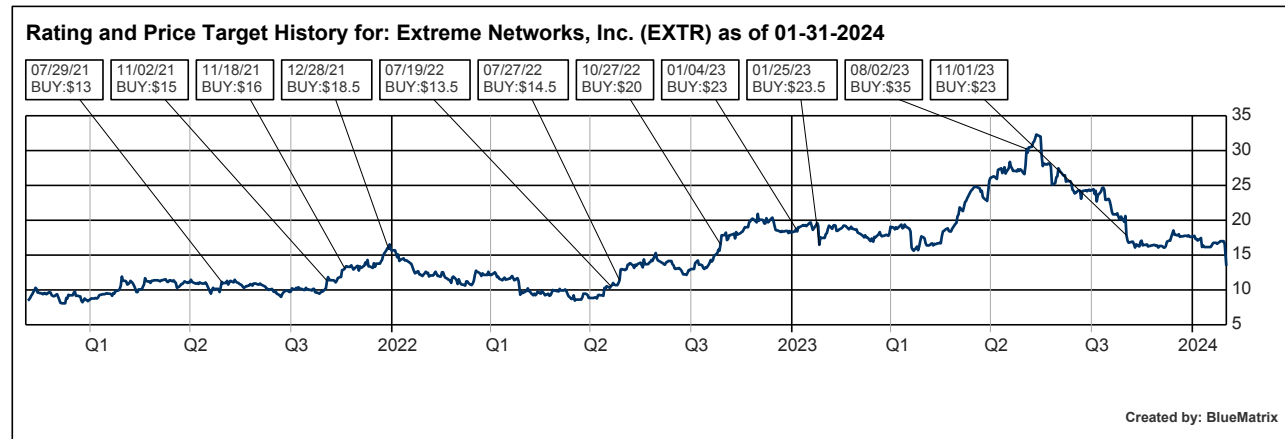
POTENTIAL UPSIDE DRIVERS

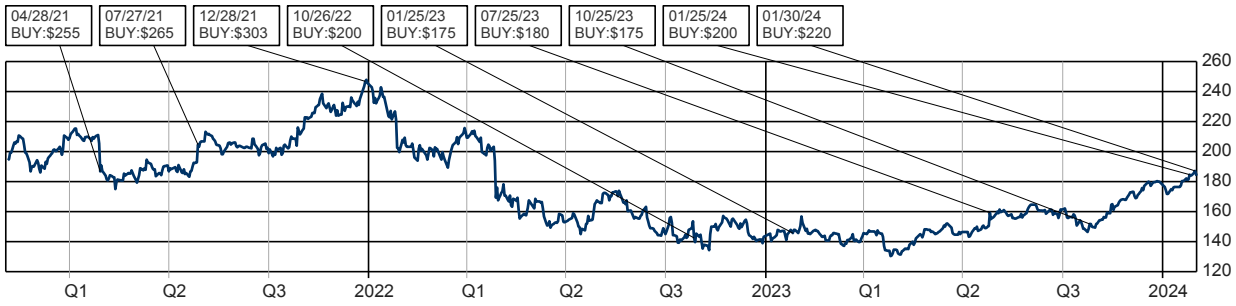
- **New Universal Switch Line should improve the GM and provide opportunities for tighter product integration and cloud analytics benefits.**
- **Shift to Subscription could help margins and valuation over time.**
- **Increasing demand for the cloud based wireless and analytics could drive increasing market share.**
- **Extreme believes it has a substantial opportunity in 5G calling it potentially a \$50-\$100 million annual Revenue opportunity.**
- **Expanded distribution and partnerships could add to growth.**
- **Faster Than Expected Recovery in Macro Environment.**
- **More Software, More Bundles and More Service Revenue growth.** These are doable in our view and would help improve the model.

RISKS TO TARGET**EXTR**

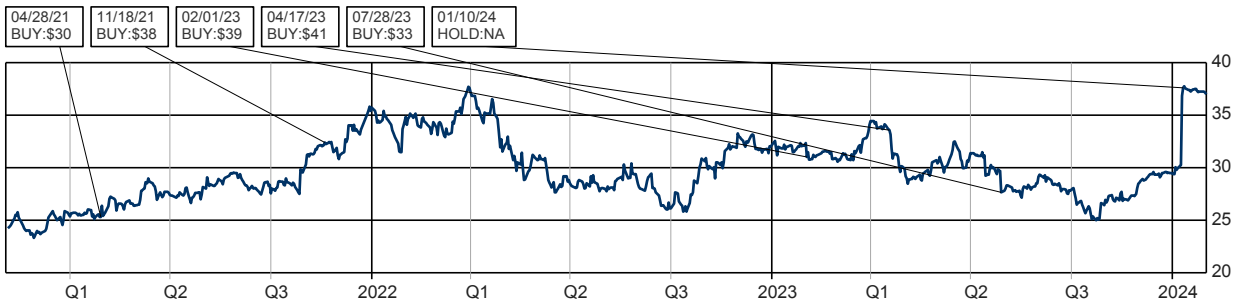
- **Merger Risk:** Extreme could have problems integrating its acquired businesses. It could see lower customer retention and lower than forecasted margins. Also, any time you attempt a merger, there is always the risk that the cultures will clash, employees won't buy into the converged vision of the company, or that there could be disruption to sales efforts. We think the employees of both companies are likely to realize they are now part of a much more viable and capable company post merger. Together, their combined R&D and sales reach as well as purchasing scale should materially improve their competitive position.
- **Technology Risk.** The switch market is not standing still. There are software-based players enabling bare metal switches and private/white label switches. If Extreme was a large player such as Cisco, we would view this as a real risk factor. However, given the smaller market share and the low exposure to the public cloud we are not concerned that this will materially impact their business over the next several years.

- **Integration Risk.** Even if there is buy-in by employees, there would still be technical challenges and customer challenges, as with any merger. Customers may not choose to go with the new Extreme. The integration of the internal operating systems of the two companies must be completed, and this is always a tricky exercise.
- **Near-Term Visibility and Modeling Variances.** We have done our best to triangulate on the structure of the combined companies. However, there are a lot of areas where there could be variances in the costs, revenues or other metrics.
- **Execution Risk.** Extreme's track record has been weak over the years. The new management has performed better but there is also risk of reversion.
- **"Value Trap?"** We think there is a risk that Extreme could execute only modest improvements and investors will throw in the towel. Investors do not want to own a "me too" player with few prospects for growth. In our view, management must realize this is not a stable situation that can be gradually improved. We believe it needs decisive action.'
- **Customer Concentration.** Extreme has multiple 10% customers. The loss of any one of these customers would materially impact Revenue and profit. In 2022, four 10% customers accounted for 60% of Revenue.

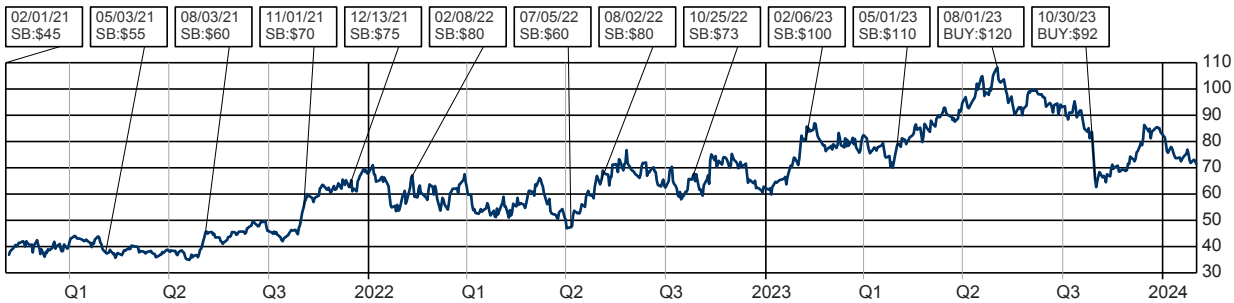


Rating and Price Target History for: F5 Inc. (FFIV) as of 01-31-2024


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Rating and Price Target History for: Juniper Networks Inc. (JNPR) as of 01-31-2024


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Rating and Price Target History for: ON Semiconductor Corporation (ON) as of 01-31-2024


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